COURSE

Cambridge IGCSE Business (0450 / 0264)

Organisational structure

2 People in business · 2.2 Organisation and management: organisational structures

Revision for 2 People in business: each firm works it out on its own deals.

Class	Topic
Cambridge IGCSE Business (0450 / 0264)	**Organisational structure**

THE LESSON

Setup — 2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Too wide a span	TASK 2 Flatter structure

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Chain of command	TASK 4 Delayering saving	B2B deal

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Who sets prices	TASK 6 Tall structure	B2B deal

Final questions — 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Your sales manager leads 15 staff and has no time to coach the new ones.

Which change would help most?

PICK ONE

- ✔ **Add a team leader for some staff**
- ○ Move all decisions to head office
- ○ Remove the sales manager's post
- ○ Widen the span of control further

Why: A narrower span gives each manager time for each worker.

Task 2

ROUND 1

You remove a layer of managers.

Which two effects are most likely?

PICK TWO

- ○ Closer supervision of staff
- ✔ **Lower management costs**
- ✔ **Messages travel faster**
- ○ More chances of promotion
- ○ Narrower spans of control

Why: Fewer layers: quicker messages and fewer managers to pay, but wider spans.

Task 3

ROUND 2

A salesperson's idea goes up the chain of command.

Put the route in order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **The salesperson**
2. **The sales team leader**
3. **The branch manager**
4. **The managing director**

Why: The chain of command runs from the bottom of the structure to the top.

Task 4

ROUND 2

You remove a layer of supervisors.

Yearly saving in pay?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Supervisors removed	**5 staff**
Pay of each, a year	**£22,500**
Managers who take their staff	**3 staff**
Pay rise for each manager	**£3,000**

METHOD

Saving = supervisors × their pay − managers × pay rise

5 × £22,500 − 3 × £3,000 = £103,500

Why: Delayering cuts pay costs, but each manager now leads more staff.

Task 5

ROUND 3

Head office sets every branch's prices. One branch keeps losing sales to a cheaper local rival.

What should you change, and why?

PICK A OR B AND GIVE A REASON

- ○ Keep all pricing at head office
- ✔ **Let the branch set its prices**

Why: The manager who knows local buyers can react faster.

Task 6

ROUND 3

Your firm has six layers, and each manager has only three staff.

Which problem is most likely?

PICK ONE

- ○ Managers too busy to supervise
- ✔ **Slow decisions through many layers**
- ○ Staff given too much freedom
- ○ Too few chances of promotion

Why: Narrow spans make a tall structure, so messages pass many people.

Final questions

6
questions for each pupil

159
Level 2 Business questions

4
of them on organisational structure

The game draws the 4 questions on this topic, and 2 more from the 159 Level 2 questions.

1 In a growing dealership, what does delegation mean for a manager and their team?
A manager passes on authority but stays accountable.

2 The CEO removes a management layer, so six supervisors now report directly to the CEO. What is the likely trade-off?
Faster communication, lower cost, but a wider CEO span of control.

3 Tall means many levels; flat, few. Worked case: a six-level chain takes a week to decide a branch request. A group cuts two of five levels. Gain and cost?
Faster decisions, but fewer promotion steps and less supervision.

4 Eight technicians report directly to the service manager, with nobody in between. Which structure feature is this?
A span of control of eight.